

Chart of Accounts

Following is a typical chart of accounts, which is used in several assignments. Every company has its own unique accounts and numbering system.

Assets

Current Assets

- 101 Cash
- 102 Petty cash
- 103 Cash equivalents
- 104 Short-term investments
- 105 Fair value adjustment, _____ securities (S-T)
- 106 Accounts receivable
- 107 Allowance for doubtful accounts
- 108 Legal fees receivable
- 109 Interest receivable
- 110 Rent receivable
- 111 Notes receivable
- 119 Merchandise inventory
- 120 _____ inventory
- 121 _____ inventory
- 124 Office supplies
- 125 Store supplies
- 126 _____ supplies
- 128 Prepaid insurance
- 129 Prepaid interest
- 131 Prepaid rent
- 132 Raw materials inventory
- 133 Goods in process inventory, _____
- 134 Goods in process inventory, _____
- 135 Finished goods inventory

Long-Term Investments

- 141 Long-term investments
- 142 Fair value adjustment, _____ securities (L-T)
- 144 Investment in _____
- 145 Bond sinking fund

Plant Assets

- 151 Automobiles
- 152 Accumulated depreciation—Automobiles
- 153 Trucks
- 154 Accumulated depreciation—Trucks
- 155 Boats
- 156 Accumulated depreciation—Boats
- 157 Professional library
- 158 Accumulated depreciation—Professional library
- 159 Law library
- 160 Accumulated depreciation—Law library
- 161 Furniture
- 162 Accumulated depreciation—Furniture
- 163 Office equipment
- 164 Accumulated depreciation—Office equipment
- 165 Store equipment

- 166 Accumulated depreciation—Store equipment
- 167 _____ equipment
- 168 Accumulated depreciation—_____ equipment
- 169 Machinery
- 170 Accumulated depreciation—Machinery
- 173 Building _____
- 174 Accumulated depreciation—Building _____
- 175 Building _____
- 176 Accumulated depreciation—Building _____
- 179 Land improvements _____
- 180 Accumulated depreciation—Land improvements _____
- 181 Land improvements _____
- 182 Accumulated depreciation—Land improvements _____
- 183 Land

Natural Resources

- 185 Mineral deposit
- 186 Accumulated depletion—Mineral deposit

Intangible Assets

- 191 Patents
- 192 Leasehold
- 193 Franchise
- 194 Copyrights
- 195 Leasehold improvements
- 196 Licenses
- 197 Accumulated amortization—_____

Liabilities

Current Liabilities

- 201 Accounts payable
- 202 Insurance payable
- 203 Interest payable
- 204 Legal fees payable
- 207 Office salaries payable
- 208 Rent payable
- 209 Salaries payable
- 210 Wages payable
- 211 Accrued payroll payable
- 214 Estimated warranty liability
- 215 Income taxes payable
- 216 Common dividend payable
- 217 Preferred dividend payable
- 218 State unemployment taxes payable
- 219 Employee federal income taxes payable
- 221 Employee medical insurance payable

- 222 Employee retirement program payable
- 223 Employee union dues payable
- 224 Federal unemployment taxes payable
- 225 FICA taxes payable
- 226 Estimated vacation pay liability

Unearned Revenues

- 230 Unearned consulting fees
- 231 Unearned legal fees
- 232 Unearned property management fees
- 233 Unearned _____ fees
- 234 Unearned _____ fees
- 235 Unearned janitorial revenue
- 236 Unearned _____ revenue
- 238 Unearned rent

Notes Payable

- 240 Short-term notes payable
- 241 Discount on short-term notes payable
- 245 Notes payable
- 251 Long-term notes payable
- 252 Discount on long-term notes payable

Long-Term Liabilities

- 253 Long-term lease liability
- 255 Bonds payable
- 256 Discount on bonds payable
- 257 Premium on bonds payable
- 258 Deferred income tax liability

Equity

Owner's Equity

- 301 _____, Capital
- 302 _____, Withdrawals
- 303 _____, Capital
- 304 _____, Withdrawals
- 305 _____, Capital
- 306 _____, Withdrawals

Paid-In Capital

- 307 Common stock, \$ _____ par value
- 308 Common stock, no-par value
- 309 Common stock, \$ _____ stated value
- 310 Common stock dividend distributable
- 311 Paid-in capital in excess of par value, Common stock

- 312 Paid-in capital in excess of stated value,
No-par common stock
- 313 Paid-in capital from retirement of common stock
- 314 Paid-in capital, Treasury stock
- 315 Preferred stock
- 316 Paid-in capital in excess of par value,
Preferred stock

Retained Earnings

- 318 Retained earnings
- 319 Cash dividends (or Dividends)
- 320 Stock dividends

Other Equity Accounts

- 321 Treasury stock, Common
- 322 Unrealized gain—Equity
- 323 Unrealized loss—Equity

Revenues

- 401 _____ fees earned
- 402 _____ fees earned
- 403 _____ services revenue
- 404 _____ services revenue
- 405 Commissions earned
- 406 Rent revenue (or Rent earned)
- 407 Dividends revenue (or Dividend earned)
- 408 Earnings from investment in _____
- 409 Interest revenue (or Interest earned)
- 410 Sinking fund earnings
- 413 Sales
- 414 Sales returns and allowances
- 415 Sales discounts

Cost of Sales

Cost of Goods Sold

- 502 Cost of goods sold
- 505 Purchases
- 506 Purchases returns and allowances
- 507 Purchases discounts
- 508 Transportation-in

Manufacturing

- 520 Raw materials purchases
- 521 Freight-in on raw materials
- 530 Factory payroll
- 531 Direct labor
- 540 Factory overhead
- 541 Indirect materials
- 542 Indirect labor
- 543 Factory insurance expired
- 544 Factory supervision
- 545 Factory supplies used
- 546 Factory utilities
- 547 Miscellaneous production costs
- 548 Property taxes on factory building
- 549 Property taxes on factory equipment
- 550 Rent on factory building
- 551 Repairs, factory equipment
- 552 Small tools written off
- 560 Depreciation of factory equipment
- 561 Depreciation of factory building

Standard Cost Variance

- 580 Direct material quantity variance
- 581 Direct material price variance
- 582 Direct labor quantity variance
- 583 Direct labor price variance
- 584 Factory overhead volume variance
- 585 Factory overhead controllable variance

Expenses

Amortization, Depletion, and Depreciation

- 601 Amortization expense—_____
- 602 Amortization expense—_____
- 603 Depletion expense—_____
- 604 Depreciation expense—Boats
- 605 Depreciation expense—Automobiles
- 606 Depreciation expense—Building _____
- 607 Depreciation expense—Building _____
- 608 Depreciation expense—Land
improvements _____
- 609 Depreciation expense—Land
improvements _____
- 610 Depreciation expense—Law library
- 611 Depreciation expense—Trucks
- 612 Depreciation expense—_____ equipment
- 613 Depreciation expense—_____ equipment
- 614 Depreciation expense—_____
- 615 Depreciation expense—_____

Employee-Related Expenses

- 620 Office salaries expense
- 621 Sales salaries expense
- 622 Salaries expense
- 623 _____ wages expense
- 624 Employees' benefits expense
- 625 Payroll taxes expense

Financial Expenses

- 630 Cash over and short
- 631 Discounts lost
- 632 Factoring fee expense
- 633 Interest expense

Insurance Expenses

- 635 Insurance expense—Delivery equipment
- 636 Insurance expense—Office equipment
- 637 Insurance expense—_____

Rental Expenses

- 640 Rent expense
- 641 Rent expense—Office space
- 642 Rent expense—Selling space
- 643 Press rental expense
- 644 Truck rental expense
- 645 _____ rental expense

Supplies Expenses

- 650 Office supplies expense
- 651 Store supplies expense
- 652 _____ supplies expense
- 653 _____ supplies expense

Miscellaneous Expenses

- 655 Advertising expense
- 656 Bad debts expense
- 657 Blueprinting expense
- 658 Boat expense
- 659 Collection expense
- 661 Concessions expense
- 662 Credit card expense
- 663 Delivery expense
- 664 Dumping expense
- 667 Equipment expense
- 668 Food and drinks expense
- 671 Gas and oil expense
- 672 General and administrative expense
- 673 Janitorial expense
- 674 Legal fees expense
- 676 Mileage expense
- 677 Miscellaneous expenses
- 678 Mower and tools expense
- 679 Operating expense
- 680 Organization expense
- 681 Permits expense
- 682 Postage expense
- 683 Property taxes expense
- 684 Repairs expense—_____
- 685 Repairs expense—_____
- 687 Selling expense
- 688 Telephone expense
- 689 Travel and entertainment expense
- 690 Utilities expense
- 691 Warranty expense
- 695 Income taxes expense

Gains and Losses

- 701 Gain on retirement of bonds
- 702 Gain on sale of machinery
- 703 Gain on sale of investments
- 704 Gain on sale of trucks
- 705 Gain on _____
- 706 Foreign exchange gain or loss
- 801 Loss on disposal of machinery
- 802 Loss on exchange of equipment
- 803 Loss on exchange of _____
- 804 Loss on sale of notes
- 805 Loss on retirement of bonds
- 806 Loss on sale of investments
- 807 Loss on sale of machinery
- 808 Loss on _____
- 809 Unrealized gain—Income
- 810 Unrealized loss—Income
- 811 Impairment gain
- 812 Impairment loss

Clearing Accounts

- 901 Income summary
- 902 Manufacturing summary

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MANAGERIAL ANALYSES AND REPORTS

① Cost Types

Variable costs: Total cost changes in proportion to volume of activity
 Fixed costs: Total cost does not change in proportion to volume of activity
 Mixed costs: Cost consists of both a variable and a fixed element

② Cost Sources

Direct materials: Raw materials costs directly linked to finished product
 Direct labor: Employee costs directly linked to finished product
 Overhead: Costs indirectly linked to finished product

③ Costing Systems

Job order costing: Costs assigned to each unique unit or batch of units
 Process costing: Costs assigned to similar products that are mass-produced in a continuous manner

④ Costing Ratios

Contribution margin ratio = (Net sales – Variable costs)/Net sales
 Predetermined overhead rate = Estimated overhead costs/Estimated activity base
 Break-even point in units = Total fixed costs/Contribution margin per unit

⑤ Planning and Control Metrics

Cost variance = Actual cost – Standard (budgeted) cost
 Sales (revenue) variance = Actual sales – Standard (budgeted) sales

⑥ Capital Budgeting

Payback period = Time expected to recover investment cost
 Accounting rate of return = Expected annual net income/Average annual investment
 Net present value (NPV) = Present value of future cash flows – Investment cost
 NPV rule: 1. Compute net present value (NPV in \$)
 2. If NPV ≥ 0, then accept project; If NPV < 0, then reject project
 Internal rate 1. Compute internal rate of return (IRR in %)
 of return rule: 2. If IRR ≥ hurdle rate, accept project; If IRR < hurdle rate, reject project

⑦ Costing Terminology

Relevant range: Organization's normal range of operating activity.
 Direct cost: Cost incurred for the benefit of one cost object.
 Indirect cost: Cost incurred for the benefit of more than one cost object.
 Product cost: Cost that is necessary and integral to finished products.
 Period cost: Cost identified more with a time period than with finished products.
 Overhead cost: Cost not separately or directly traceable to a cost object.
 Relevant cost: Cost that is pertinent to a decision.
 Opportunity cost: Benefit lost by choosing an action from two or more alternatives.
 Sunk cost: Cost already incurred that cannot be avoided or changed.
 Standard cost: Cost computed using standard price and standard quantity.
 Budget: Formal statement of an organization's future plans.
 Break-even point: Sales level at which an organization earns zero profit.
 Incremental cost: Cost incurred only if the organization undertakes a certain action.
 Transfer price: Price on transactions between divisions within a company.

⑧ Standard Cost Variances

$$\text{Total materials variance} = \begin{matrix} \text{Materials} \\ \text{price} \\ \text{variance} \end{matrix} + \begin{matrix} \text{Materials} \\ \text{quantity} \\ \text{variance} \end{matrix}$$

$$\text{Total labor variance} = \begin{matrix} \text{Labor} \\ \text{(rate)} \\ \text{variance} \end{matrix} + \begin{matrix} \text{Labor efficiency} \\ \text{(quantity)} \\ \text{variance} \end{matrix}$$

$$\text{Total overhead variance} = \begin{matrix} \text{Overhead} \\ \text{controllable} \\ \text{variance} \end{matrix} + \begin{matrix} \text{Fixed overhead} \\ \text{volume} \\ \text{variance} \end{matrix}$$

Overhead controllable variance = Actual total overhead – Applied total overhead from flexible budget
 Fixed overhead volume variance = Budgeted fixed overhead – Applied fixed overhead
 Variable overhead variance = Variable overhead spending variance + Variable overhead efficiency variance
 Fixed overhead variance = Fixed overhead spending variance + Fixed overhead volume variance
 } = Total overhead variance

$$\text{Materials price variance} = [AQ \times AP] - [AQ \times SP]$$

$$\text{Materials quantity variance} = [AQ \times SP] - [SQ \times SP]$$

$$\text{Labor (rate) variance} = [AH \times AR] - [AH \times SR]$$

$$\text{Labor efficiency (quantity) variance} = [AH \times SR] - [SH \times SR]$$

$$\text{Variable overhead spending variance} = [AH \times AVR] - [AH \times SVR]$$

$$\text{Variable overhead efficiency variance} = [AH \times SVR] - [SH \times SVR]$$

$$\text{Fixed overhead spending variance} = \text{Actual fixed overhead} - \text{Budgeted fixed overhead}$$

where AQ is actual quantity of materials; AP is actual price of materials; AH is actual hours of labor; AR is actual rate of wages; AVR is actual variable rate of overhead; SQ is standard quantity of materials; SP is standard price of materials; SH is standard hours of labor; SR is standard rate of wages; SVR is standard variable rate of overhead.

⑨ Sales Variances

$$\text{Sales price variance} = [AS \times AP] - [AS \times BP]$$

$$\text{Sales volume variance} = [AS \times BP] - [BS \times BP]$$

where AS = actual sales units; AP = actual sales price; BP = budgeted sales price;
 BS = budgeted sales units (fixed budget)

Manufacturing Statement For period Ended date

Direct materials	
Raw materials inventory, Beginning	\$ #
Raw materials purchases	#
Raw materials available for use	#
Raw materials inventory, Ending	(#)
Direct materials used	#
Direct labor	#
Overhead costs	
Total overhead costs	#
Total manufacturing costs	#
Add goods in process inventory, Beginning	#
Total cost of goods in process	#
Deduct goods in process inventory, Ending	(#)
Cost of goods manufactured	\$ #

Contribution Margin Income Statement For period Ended date

Net sales (revenues)	\$ #
Total variable costs	#
Contribution margin	#
Total fixed costs	#
Net income	\$ #

Flexible Budget For period Ended date

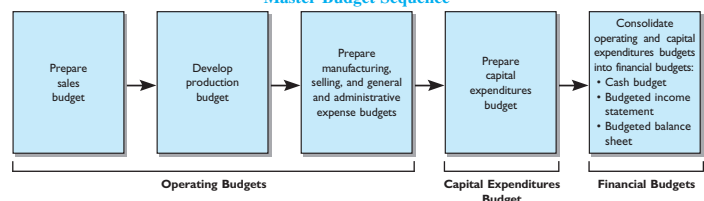
	Flexible Budget Variable Amount per Unit	Fixed Cost	Flexible Budget for Unit Sales of #
Sales (revenues)	\$ #		\$ #
Variable costs			
Examples: Direct materials, Direct labor,			
Other variable costs	#		#
Total variable costs	#		#
Contribution margin	\$ #		#
Fixed costs			
Examples: Depreciation, Manager		\$ #	#
salaries, Administrative salaries		#	#
Total fixed costs		\$ #	#
Income from operations			\$ #

Fixed Budget Performance Report For period Ended date

	Fixed Budget	Actual Performance	Variances ¹
Sales: In units	#	#	
In dollars	\$ #	\$ #	\$ # F or U
Cost of sales			
Direct costs	#	#	# F or U
Indirect costs	#	#	# F or U
Selling expenses			
Examples: Commissions,	#	#	# F or U
Shipping expenses	#	#	# F or U
General and administrative expenses			
Examples: Administrative salaries	#	#	# F or U
Total expenses	\$ #	\$ #	\$ # F or U
Income from operations	\$ #	\$ #	\$ # F or U

¹F = Favorable variance; U = Unfavorable variance.

Master Budget Sequence



FUNDAMENTALS

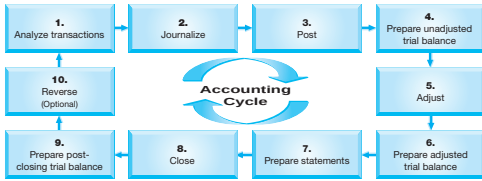
① Accounting Equation

Assets		=	Liabilities		+	Equity	
↑ Debit for increases	↓ Credit for decreases		↓ Debit for decreases	↑ Credit for increases		↓ Debit for decreases	↑ Credit for increases
Owner's Capital*		-	Owner's Withdrawals*		+	Revenues	
↓ Dr. for decreases	↑ Cr. for increases		↑ Dr. for increases	↓ Cr. for decreases		↓ Dr. for decreases	↑ Cr. for increases
					-	Expenses	
						↑ Dr. for increases	↓ Cr. for decreases

Indicates normal balance.

*Comparable corporate accounts are Common Stock (Paid-In Capital) and Dividends.

② Accounting Cycle



③ Adjustments and Entries

Type	Adjusting Entry	
Prepaid Expenses	Dr. Expense	Cr. Asset*
Unearned Revenues	Dr. Liability	Cr. Revenue
Accrued Expenses	Dr. Expense	Cr. Liability
Accrued Revenues	Dr. Asset	Cr. Revenue

*For depreciation, credit Accumulated Depreciation (contra asset).

④ 4-Step Closing Process

1. Transfer revenue and gain account balances to Income Summary.
2. Transfer expense and loss account balances to Income Summary.
3. Transfer Income Summary balance to Owner's Capital.
4. Transfer Withdrawals balance to Owner's Capital.

⑤ Accounting Concepts

Characteristics	Assumptions	Principles	Constraints
Relevance	Business entity	Historical cost	Cost-benefit
Reliability	Going concern	Revenue recognition	Materiality
Comparability	Monetary unit	Expense recognition	Industry practice
Consistency	Periodicity	Full disclosure	Conservatism

⑥ Ownership of Inventory

	Ownership Transfers When Goods Passed To	Transportation Costs Paid By
FOB Shipping Point	Carrier	Buyer
FOB Destination	Buyer	Seller

⑦ Inventory Costing Methods

- Specific Identification
- First-In, First-Out (FIFO)
- Weighted-Average
- Last-In, First-Out (LIFO)

⑧ Depreciation and Depletion

Straight-Line:	$\frac{\text{Cost} - \text{Salvage value}}{\text{Useful life in periods}} \times \text{Periods expired}$
Units-of-Production:	$\frac{\text{Cost} - \text{Salvage value}}{\text{Useful life in units}} \times \text{Units produced}$
Declining-Balance:	$\text{Rate}^* \times \text{Beginning-of-period book value}$ *Rate is often double the straight-line rate, or $2 \times (1/\text{Useful life})$
Depletion:	$\frac{\text{Cost} - \text{Salvage value}}{\text{Total capacity in units}} \times \text{Units extracted}$

⑨ Interest Computation

Interest = Principal (face) $\times$ Rate $\times$ Time

⑩ Accounting for Investment Securities

Classification*	Accounting
Short-Term Investment in Securities	
Held-to-maturity (debt) securities	Cost (without any discount or premium amortization)
Trading (debt and equity) securities	Fair value (with fair value adjustment to income)
Available-for-sale (debt and equity) securities	Fair value (with fair value adjustment to equity)
Long-Term Investment in Securities	
Held-to-maturity (debt) securities	Cost (with any discount or premium amortization)
Available-for-sale (debt and equity) securities	Fair value (with fair value adjustment to equity)
Equity securities with significant influence	Equity method
Equity securities with controlling influence	Equity method (with consolidation)

*A fair value option allows companies to report HTM and AFS securities much like trading securities.

ANALYSES

① Liquidity and Efficiency

Current ratio = $\frac{\text{Current assets}}{\text{Current liabilities}}$	p. 148
Working capital = Current assets - Current liabilities	p. 697
Acid-test ratio = $\frac{\text{Cash} + \text{Short-term investments} + \text{Current receivables}}{\text{Current liabilities}}$	p. 196
Accounts receivable turnover = $\frac{\text{Net sales}}{\text{Average accounts receivable, net}}$	p. 375
Credit risk ratio = $\frac{\text{Allowance for doubtful accounts}}{\text{Accounts receivable, net}}$	p. 375
Inventory turnover = $\frac{\text{Cost of goods sold}}{\text{Average inventory}}$	p. 241
Days' sales uncollected = $\frac{\text{Accounts receivable, net}}{\text{Net sales}} \times 365^*$	p. 335
Days' sales in inventory = $\frac{\text{Ending inventory}}{\text{Cost of goods sold}} \times 365^*$	p. 241
Total asset turnover = $\frac{\text{Net sales}}{\text{Average total assets}}$	p. 413
Plant asset useful life = $\frac{\text{Plant asset cost}}{\text{Depreciation expense}}$	p. 413
Plant asset age = $\frac{\text{Accumulated depreciation}}{\text{Depreciation expense}}$	p. 413
Days' cash expense coverage = $\frac{\text{Cash and cash equivalents}}{\text{Average daily cash expenses}}$	p. 322

*360 days is also commonly used.

② Solvency

Debt ratio = $\frac{\text{Total liabilities}}{\text{Total assets}}$	Equity ratio = $\frac{\text{Total equity}}{\text{Total assets}}$	pp. 69 & 701
Debt-to-equity = $\frac{\text{Total liabilities}}{\text{Total equity}}$		p. 567
Times interest earned = $\frac{\text{Income before interest expense and income taxes}}{\text{Interest expense}}$		p. 450
Cash coverage of growth = $\frac{\text{Cash flow from operations}}{\text{Cash outflow for plant assets}}$		p. 651
Cash coverage of debt = $\frac{\text{Cash flow from operations}}{\text{Total noncurrent liabilities}}$		p. 646

③ Profitability

Profit margin ratio = $\frac{\text{Net income}}{\text{Net sales}}$	p. 109
Gross margin ratio = $\frac{\text{Net sales} - \text{Cost of goods sold}}{\text{Net sales}}$	p. 196
Return on total assets = $\frac{\text{Net income}}{\text{Average total assets}}$ = Profit margin ratio $\times$ Total asset turnover	p. 22 p. 703
Return on common stockholders' equity = $\frac{\text{Net income} - \text{Preferred dividends}}{\text{Average common stockholders' equity}}$	p. 703
Book value per common share = $\frac{\text{Stockholders' equity applicable to common shares}}{\text{Number of common shares outstanding}}$	p. 528
Basic earnings per share = $\frac{\text{Net income} - \text{Preferred dividends}}{\text{Weighted-average common shares outstanding}}$	p. 527
Cash flow on total assets = $\frac{\text{Cash flow from operations}}{\text{Average total assets}}$	p. 650
Payout ratio = $\frac{\text{Cash dividends declared on common stock}}{\text{Net income}}$	p. 528

④ Market

Price-earnings ratio = $\frac{\text{Market value (price) per share}}{\text{Earnings per share}}$	p. 527
Dividend yield = $\frac{\text{Annual cash dividends per share}}{\text{Market price per share}}$	p. 528
Residual income = Net income - Target net income	

FINANCIAL REPORTS

Income Statement* For period Ended date

Net sales (revenues)		\$	#
Cost of goods sold (cost of sales)			#
Gross margin (gross profit)			#
Operating expenses			
Examples: Depreciation, salaries,	\$	#	
wages, rent, utilities, interest,		#	
amortization, advertising, taxes		#	
Total operating expenses			#
Nonoperating gains and losses			#
Net income (net profit or earnings)		\$	#

* A typical chart of accounts is at the end of the book and classifies all accounts by financial statement categories.

Balance Sheet Date

ASSETS

Current assets			
Examples: Cash, Cash equivalents, Short-term investments,			
Accounts receivable, Current portion of notes	\$	#	
receivable, Inventory, Prepaid expenses		#	
Total current assets		\$	#
Long-term investments			
Examples: Investment in stock, Investment in bonds,		#	
Land for expansion		#	
Total long-term investments			#
Plant assets			
Examples: Equipment, Machinery, Buildings, Land		#	
Total plant assets, net of depreciation			#
Intangible assets			
Examples: Patent, Trademark, Copyright, License, Goodwill		#	
Total intangible assets, net of amortization			#
Total assets		\$	#

LIABILITIES AND EQUITY

Current liabilities			
Examples: Accounts payable, Wages payable, Salaries	\$	#	
payable, Current notes payable, Taxes payable,		#	
Interest payable, Unearned revenues		#	
Total current liabilities		\$	#
Long-term liabilities			
Examples: Notes payable, Bonds payable, Lease liability		#	
Total long-term liabilities			#
Total liabilities			#
Equity*			
Owner, Capital			#
Total liabilities and equity		\$	#

* A corporation's equity consists of: Paid-In Capital and Retained Earnings (less any treasury stock).

Statement of Cash Flows For period Ended date

Cash flows from operating activities			
[Prepared using the indirect (see below) [†] or direct method]			
Net cash provided (used) by operating activities	\$	#	
Cash flows from investing activities			
[List of individual investing inflows and outflows]			
Net cash provided (used) by investing activities			#
Cash flows from financing activities			
[List of individual financing inflows and outflows]			
Net cash provided (used) by financing activities			#
Net increase (decrease) in cash		\$	#
Cash (and equivalents) balance at beginning of period			#
Cash (and equivalents) balance at end of period		\$	#

Attach separate schedule or note disclosure of "Noncash investing and financing transactions."

[†]Indirect Method: Cash Flows from Operating Activities

Cash flows from operating activities			
Net income		\$	#
Add: Decreases in noncash current assets	\$	#	
Increases in current liabilities		#	
Expenses with no cash outflows (examples: depreciation,		#	
and amortization of both intangibles and bond discounts)		#	
Nonoperating losses (examples: losses from asset sales		#	
and from debt retirements)		#	#
Less: Increases in noncash current assets		#	
Decreases in current liabilities		#	
Revenues with no cash inflows (examples:		#	
amortization of bond premiums)		#	
Nonoperating gains (examples: gains from asset sales		#	
and from debt retirements)		#	#
Net cash provided (used) by operating activities		\$	#

Statement of Owner's Equity* For period Ended date

Owner, Capital, beginning		\$	#
Add: Investments by owner	\$	#	
Net income		#	#
			#
Less: Withdrawals by owner			#
Owner, Capital, ending		\$	#

* For a corporation, statement of owner's equity becomes statement of retained earnings with these changes: "owner, capital" is retained earnings; "investments by owner" is deleted; and "withdrawals by owner" is dividends.

Premium Bond Amortization (Straight-Line) Table[†] Semiannual Period-End Unamortized Bond Premium* Bond Carrying Value**

Bond life-start	\$	#		\$	#
.....		:			:
.....		:			:
Bond life-end		0			par

[†] Bond carrying value is adjusted to par and its amortized premium to zero over the bond life (note: carrying value less unamortized bond premium equals par).

* Equals total bond premium less its accumulated amortization.

** Equals bond par value plus its unamortized bond premium.

Discount Bond Amortization (Straight-Line) Table[†] Semiannual Period-End Unamortized Bond Discount* Bond Carrying Value**

Bond life-start	\$	#		\$	#
.....		:			:
.....		:			:
Bond life-end		0			par

[†] Bond carrying value is adjusted to par and its amortized discount to zero over the bond life (note: unamortized bond discount plus carrying value equals par).

* Equals total bond discount less its accumulated amortization.

** Equals bond par value less its unamortized bond discount.

Effective Interest Amortization Table for Bonds with Semiannual Interest Payment

Semiannual Interest Period-End	Cash Interest Paid ^A	Bond Interest Expense ^B	Discount or Premium Amortization ^C	Unamortized Discount or Premium ^D	Carrying Value ^E
#	#	#	#	#	#
:	:	:	:	:	:

^APar value multiplied by the semiannual contract rate.

^BPrior period's carrying value multiplied by the semiannual market rate.

^CThe difference between interest paid and bond interest expense.

^DPrior period's unamortized discount or premium less the current period's discount or premium amortization.

^EPar value less unamortized discount or plus unamortized premium.

Installment Notes Payment Table

Period Ending Date	Beginning Balance	Payments				Ending Balance
		Debit Interest Expense	+	Debit Notes Payable	=	Credit Cash
#	#	#		#		#
:	:	:		:		:

Bank Reconciliation Date

Bank statement balance	\$#	Book balance	\$#
Add: Unrecorded deposits	#	Add: Unrecorded bank credit	
		memoranda	#
Bank errors understating		Book errors understating	
the balance	#	the balance	#
	#		#
Less: Outstanding checks	#	Less: Unrecorded bank debit	
		memoranda	#
Bank errors overstating		Book errors overstating	
the balance	#	the balance	#
Adjusted bank balance	\$#	Adjusted book balance	\$#

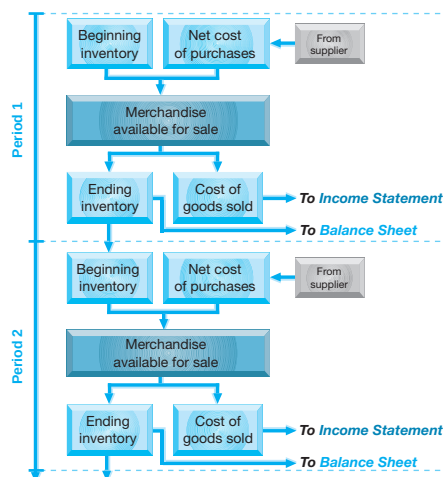
↑ Balances are equal (reconciled) ↓

SELECTED TRANSACTIONS AND RELATIONS

① Merchandising Transactions Summary

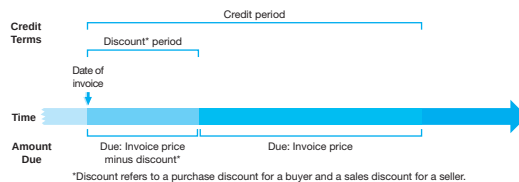
Merchandising Transactions	Merchandising Entries	Dr.	Cr.
Purchases	Purchasing merchandise for resale.	• Merchandise Inventory	#
	Paying freight costs on purchases; FOB shipping point.	• Cash or Accounts Payable	#
	Paying within discount period.	• Merchandise Inventory	#
		• Cash	#
		• Accounts Payable	#
Sales	Recording purchase returns or allowances.	• Merchandise Inventory	#
	Selling merchandise.	• Cash or Accounts Payable	#
		• Merchandise Inventory	#
		• Cash	#
	Receiving payment within discount period.	• Cash or Accounts Receivable	#
		• Sales	#
	Granting sales returns or allowances.	• Cost of Goods Sold	#
		• Merchandise Inventory	#
	Paying freight costs on sales; FOB destination.	• Cash	#
		• Delivery Expense	#

② Merchandising Cash Flows

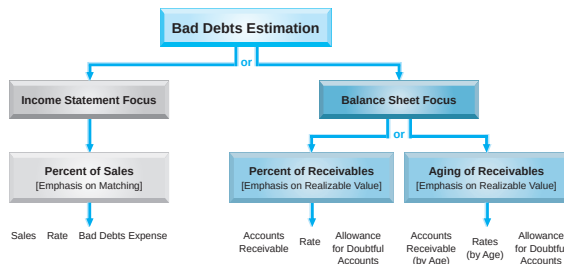


Merchandising Events	Adjusting and Closing Entries	Dr.	Cr.
Adjusting	Adjusting due to shrinkage (occurs when recorded amount larger than physical inventory).	• Cost of Goods Sold	#
		• Merchandise Inventory	#
Closing	Closing temporary accounts with credit balances.	• Sales	#
		• Income Summary	#
	Closing temporary accounts with debit balances.	• Income Summary	#
		• Sales Returns and Allowances	#
		• Sales Discounts	#
		• Cost of Goods Sold	#
		• Delivery Expense	#
		• "Other Expenses"	#

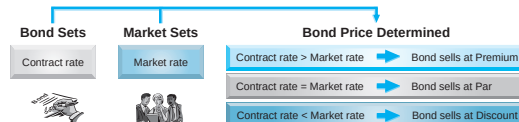
③ Credit Terms and Amounts



④ Bad Debts Estimation



⑤ Bond Valuation



⑥ Stock Transactions Summary

Stock Transactions	Stock Entries	Dr.	Cr.
Issue Common Stock	Issue par value common stock at par (par stock recorded at par).	• Cash	#
		• Common Stock	#
	Issue par value common stock at premium (par stock recorded at par).	• Cash	#
		• Common Stock	#
		• Paid-In Capital in Excess of Par Value, Common Stock	#
Issue Preferred Stock	Issue no-par value common stock (no-par stock recorded at amount received).	• Cash	#
		• Common Stock	#
	Issue stated value common stock at stated value (stated stock recorded at stated value).	• Cash	#
		• Common stock	#
	Issue stated value common stock at premium (stated stock recorded at stated value).	• Cash	#
Reacquire Common Stock	Reacquire its own common stock (treasury stock recorded at cost).	• Treasury Stock, Common	#
		• Cash	#
	Reissue its treasury stock at cost (treasury stock removed at cost).	• Treasury Stock, Common	#
		• Cash	#
	Reissue its treasury stock above cost (treasury stock removed at cost).	• Treasury Stock, Common	#
Reissue Common Stock	Reissue its treasury stock below cost (treasury stock removed at cost; if paid-in capital is insufficient to cover amount below cost, retained earnings is debited for remainder).	• Cash	#
		• Paid-In Capital, Treasury	#
		• Treasury Stock, Common	#
		• Retained Earnings (if necessary)	#

⑦ Dividend Transactions

Account Affected	Type of Dividend		
	Cash Dividend	Stock Dividend	Stock Split
Cash	Decrease	—	—
Common Stock	—	Increase	—
Retained Earnings	Decrease	Decrease	—

⑧ A Rose by Any Other Name

The same financial statement sometimes receives different titles. Following are some of the more common aliases.*

Balance Sheet	Statement of Financial Position Statement of Financial Condition
Income Statement	Statement of Income Operating Statement Statement of Operations Statement of Operating Activity Earnings Statement Statement of Earnings Profit and Loss (P&L) Statement
Statement of Cash Flows	Statement of Cash Flow Cash Flows Statement Statement of Changes in Cash Position Statement of Changes in Financial Position
Statement of Owner's Equity	Statement of Changes in Owner's Equity Statement of Changes in Owner's Capital Statement of Shareholders' Equity [†] Statement of Changes in Shareholders' Equity [†] Statement of Stockholders' Equity and Comprehensive Income [†] Statement of Changes in Capital Accounts [†]

* The term **Consolidated** often precedes or follows these statement titles to reflect the combination of different entities, such as a parent company and its subsidiaries.
† Corporation only.

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[†] For corporations only.

We thank Dr. Louella Moore from Arkansas State University for suggesting this listing.